

23NWCV02877 23NWCV02877

County: los-angeles

Division: Civil Law and Motion

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Case Number: 23NWCV02877 Hearing Date: July 17, 2026 Dept: P

GERALDINE F. SANDOVAL v. PAUL J. VALANIS, et al.

CASE NO.: 23NWCV02877

HEARING: 07/17/2026 @ 10:00 AM

#18

TENTATIVE ORDER

I.

Defendant Paul Valanis's motion is
GRANTED IN PART and DENIED IN PART.

II.

Defendant's motion is GRANTED as to
confirming the value of the Subject Property at \$860,000.

III.

Defendant's motion is DENIED as to all
other requests.

Moving party to give notice.

Defendant Paul Valanis (Defendant) moves to (1) confirming
the fair market value of the subject property, (2) confirm the offsets owed by
Plaintiff Geraldine Sandoval (Plaintiff) to Defendant, and (3) set the buyout
price. Alternatively, Defendant requests appointment of a referee to determine

the offsets.

Background

This is an action for partition. On September 11, 2023, Plaintiff filed this action against Defendants Paul J. Valanis, MERS, Inc., and Does 1 to 10. The complaint alleges that Plaintiff and Defendant are former romantic partners. On May 16, 2005, the parties acquired their interests in the real property located at 9658 Belcher Street, Downey, California, 90242, zoned DOR105, a single-family residential zoning designation, with APN 6282-005-041 (Subject Property) as joint tenants through a Grant Deed recorded with Los Angeles County. (Complaint, ¶ 11.) Plaintiff and Defendant each hold a 50% interest in the Subject Property. (Complaint, ¶¶ 3-4.) The complaint alleges that the parties' relationship has since deteriorated, and the parties have been unable to reach an agreement to divide the Subject Property. (Complaint, ¶ 19.) The complaint alleges one cause of action for partition by sale.

On September 20, 2023, a Notice of Lis Pendens was recorded on the Subject Property.

On July 23, 2024, Defendant recorded a quitclaim deed severing the joint tenancy.

On April 21, 2025, the Court denied Plaintiff's motion for interlocutory judgment and appointment of partition referee. The Court found that an interlocutory judgment was premature and better suited to be decided by trial or a dispositive motion. (Order, 4/21/25.)

On September 4, 2025, the Court granted in part Plaintiff's motion to determine value and send buyout notice. The Court ordered an appraisal of the Subject Property and denied Plaintiff's request to order the property to be sold. (Order, 9/4/25.)

On November 4, 2025, the Court denied Defendant's motion to confirm the offsets or, alternatively, to appoint a referee to determine the offsets without prejudice.

On April 3, 2026, the parties filed a Joint Stipulation to Appoint Appraiser. The Court granted the Joint Stipulation and appointed Michael Stark. On April 23, 2026, Defendant submitted a declaration of Mr.

Stark verifying the appraisal of the Subject Property.

On May 18, 2026, the instant hearing was scheduled for today's date.

Legal Standard

Under the Partition of Real Property Act (PRPA), Code of Civil Procedure section 874.316 provides in pertinent part:

“(a) Except as otherwise provided in subdivisions (b) and (c), the court shall determine the fair market value of the property by ordering an appraisal pursuant to subdivision (d).

[...]

(c) If the court determines that the evidentiary value of an appraisal is outweighed by the cost of the appraisal, the court, after an evidentiary hearing, shall determine the fair market value of the property and send notice to the parties of the value.

(d) If the court orders an appraisal, the court shall appoint a disinterested real estate appraiser licensed in the State of California to determine the fair market value of the property assuming sole ownership of the fee simple estate. On completion of the appraisal, the appraiser shall file a sworn or verified appraisal with the court.”

(Code Civ. Proc., § 874.316, subds. (a), (c), (d).)

“If an appraisal is conducted pursuant to subdivision (d), not later than 10 days after the appraisal is filed, the court shall send notice to each party with a known address, stating all of the following: (1) The appraised fair market value of the property. (2) That the appraisal is available at the court clerk's office. (3) That a party may file with the court an objection to the appraisal not later than 30 days after the notice is sent, stating the grounds for the objection.” (Code Civ. Proc., § 874.316, subd. (e).)

“If an appraisal is filed with the court pursuant to subdivision (d), the court shall conduct a hearing to determine the fair market value of the property not sooner than 30 days after a copy of the notice of the appraisal is sent to each

party under subdivision (e), whether or not an objection to the appraisal is filed under paragraph (3) of subdivision (e).” (Code Civ. Proc., § 874.316, subd. (f).) “After a hearing under subdivision (f), but before considering the merits of the partition action, the court shall determine the fair market value of the property and send notice to the parties of the value.” (Code Civ. Proc., § 874.316, subd (g).)

Discussion

Defendant moves to (1) confirm the fair market value of the Subject Property, (2) confirm the offsets owed by Plaintiff to Defendant, and (3) set the buyout price. Defendant “requests that the Court confirm the Property’s fair market value of \$860,000, confirm offsets totaling \$440,118.85, and set the buyout price for Plaintiff’s 50% interest at 50% of the Property’s equity (fair market value less mortgage) less offsets. Because Plaintiff’s 50% share of equity is approximately \$247,859 and offsets are \$440,118.85, the buyout price floors at \$0, with Defendant waiving any excess offsets above Plaintiff’s 50% share of equity in exchange for the conveyance of Plaintiff’s 50% interest.” (Mot., 2:15-20.) Alternatively, Defendant requests appointment of a referee to determine the offsets.

In opposition, Plaintiff opposes Defendant’s arguments that the value is determined by taking equity into consideration. Plaintiff argues that Defendant’s arguments depart from the PRPA. Pursuant to Code of Civil Procedure section 874.317, subdivision (c), “[t]he purchase price for each of the interests of a cotenant that requested partition by sale is the value of the entire parcel determined under Section 874.316 multiplied by the cotenant’s fractional ownership of the entire parcel.”

Here, the Court agrees with Plaintiff that Defendant’s requests to confirm the offsets and confirm a value based on equity are both premature and not prescribed under the statutory regime. As explained by Plaintiff, the PRPA established a four-step procedure for a buyout. (See Code Civ. Proc., § 874.317.) These steps dictate that the allocations that Defendant seeks occur after an interlocutory judgment and after buyout notices are sent. (Code Civ. Proc., § 874.317, subd. (e)(1).)

Based on the Notice of Filing of Verified Appraisal filed on April 23, 2026, the Court conducts this hearing. (Code Civ. Proc., § 874.316, subd. (e)-(f).) Therefore, Defendant’s requests for accountings and offsets are

premature at this time.

Here, the Notice of Filing of Verified Appraisal shows that the value of the Subject Property is \$860,000. Neither party disputes this value.

Accordingly, Defendant's motion to confirm the value of the Subject Property is GRANTED IN PART. The Court sets the value of 9658 Belcher Street, Downey, California, 90242 at \$860,000.

Under Code of Civil Procedure section 874.316, subdivision (g), the Court is required to give notice of the value to all parties. The Court will and hereby does give notice of the value of the Subject Property to all parties.

Under Code of Civil Procedure section 874.317, subdivision (b), "[n]ot later than 45 days after the notice is sent under subdivision (a), any cotenant except a cotenant that requested partition by sale may give notice to the court that it elects to buy all the interests of the cotenants that requested partition by sale." The purchase price of each interest is \$430,000. (Code Civ. Proc., § 874.317, subd. (c).)

As discussed above, Defendant's motion is DENIED as to the confirmation of offsets and setting the buyout price at \$0.

The Court acknowledges Defendant's alternative request for a referee regarding the offsets and accounting. The Court finds Plaintiff's opposing arguments, regarding moving under the improper statute, well taken. The Court notes that the parties are not precluded from moving for the appointment of a referee to conduct the sale or buyout after entry of an interlocutory judgment.

The Court will confer with the parties at the hearing to schedule a date for a court trial to determine the parties' respective interests and appoint a referee to conduct the sale, buyout, and accounting.